

At many DPs, hundreds of demat account holders had identical postal addresses. It was common for many retail investors to have multiple demat accounts. This was a throwback to the days when retail investors would make multiple applications in a public issue to increase their chances of share allotment. Since there was nothing such as a Permanent Account Number (PAN) at the time, these investors got away. A household of four – the husband, wife and two children – could apply under at least half a dozen combinations of names.

When dematerialization was introduced, investors who jointly held shares in various combinations had to open as many demat accounts under those exact combinations to get their shares dematerialized. As a result, many households had multiple demat accounts. So multiple demat accounts with identical postal addresses were not uncommon. But when hundreds of accounts had the same address, it should have set the alarm bells ringing.

The SEBI probe found that the depositories imposed fairly steep penalties – up to Rs 3 lakh in some cases – if employees at the DPs did not have NSE's Certification in Financial Markets (NCFM). And in bizarre disproportion, the penalty for violation of account opening rules was between Rs 500 and Rs 1,000. Despite DPs repeatedly violating account opening rules, the depositories did not take any action beyond imposing paltry monetary fines. This showed the casualness with which the depositories inspected the DPs.

Market players thought the SEBI report would dampen retail investor interest in public issues. But the IPO juggernaut continued to roll on, with 75 companies raising Rs 24,779 crore in 2006 – more than twice the sum raised in 2005.